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Case Number: 21STCV07609 Hearing Date: July 10, 2026 Dept: 516

Judge James I. Montgomery

Department 516

Hearing Date: July 10, 2026

Case Name: Playboy Enterprises

International Inc., et al. v Advanced Vita Supplements, et al.

Case

No.: 21STCV07609

Matter: Motion to Seal

Moving

Party: Defendants Advanced

Vita Supplements Corporation, AVS Products, LLC, Todd Kay, and Gerard Guez

Responding Party: Plaintiffs Playboy Enterprises International,
Inc. and Products Licensing LLC

Matter: Motion for Order to Exclude Expert Testimony

Moving

Party: Plaintiffs Playboy

Enterprises International, Inc. and Products Licensing LLC

Responding Party: Defendants Advanced Vita Supplements Corporation, AVS

Products, LLC, Todd Kay, and Gerard Guez

Tentative

Ruling: Defendants Advanced Vita

Supplements Corporation, AVS Products, LLC, Todd Kay, and Gerard Guez's motion to seal is denied.

Plaintiffs

Playboy Enterprises International, Inc. and Products Licensing LLC's motion to exclude expert testimony is granted in part and denied in part.

Plaintiffs

Playboy Enterprises International, Inc. and Products Licensing LLC filed this action against Defendants Advanced Vita Supplements Inc., AVS Products LLC, and Sasha Matloob for: (1) breach of contract; (2) violation of Business and Professions Code section 17200; (3) violation of Business and Professions Code section 17500; (4) declaratory relief; and (5) accounting.

Defendants Advanced

Vita Supplements Corporation, Sasha Matloob, Sunrise PB Investment LLC, Sunrise Brands LLC, Todd Kay, Gerard Guez, and AVS Products, LLC (collectively "Defendants") move to seal 17 exhibits. Plaintiffs Playboy Enterprises International, Inc., and Products Licensing LLC (collectively "Playboy") join Defendants to seal the exhibits.

Playboy

moves to exclude the expert testimony of Scott Bosworth, or, in the alternative, for the Court to conduct an evidentiary hearing. Defendants oppose.

Legal Standard

A.

Motion to Seal

"A

party requesting that a record be filed under seal must file a motion or an application for an order sealing the record. The motion or application must be accompanied by a memorandum and a declaration containing facts sufficient to justify the sealing." (Cal.

Rules of Court, Rule 2.551, subd. (b)(1).)

The court

must make express findings to support sealing under California Rules of Court, Rule 2.550. Specifically, California Rules of Court, Rule 2.550, subdivision (d), provides:

“The court may order that a record be filed under seal only if it expressly finds that:

(1)

There exists an overriding interest that overcomes the right of public access to the record;

(2)

The overriding interest supports sealing the record;

(3)

A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed;

(4)

The proposed sealing is narrowly tailored; and

(5)

No less restrictive means exist to achieve the overriding interest.”

(Cal. Rules of Court, rule 2.550(b).)

The

party seeking to seal a document bears the burden of proof. (H.B. Fuller Co. v. Doe (2007) 151 Cal.App.4th 879, 894 (Doe).)

Specifically, “[a] party requesting that a record be filed under seal must file a motion or an application for an order sealing the record. The motion or application must be accompanied by a memorandum and a declaration containing facts sufficient to justify the sealing.” (Cal. Rules of Court, rule 2.551(b)(1).)

B.

Motion to Exclude Expert Testimony

“Evidence

Code section 801 provides: “If a witness is testifying as an expert, his testimony in the form of an opinion is limited to such an opinion as is: [¶]

(a) Related to a subject that is sufficiently beyond common experience that the opinion of an expert would assist the trier of fact; and [¶] (b) Based on matter ... that is of a type that reasonably may be relied upon by an expert in forming an opinion upon the subject to which his testimony relates, unless an expert is precluded by law from using such matter as a basis for his opinion.” (Italics added.) Subdivision (b) clearly permits a court to determine whether the matter is of a type on which an expert may reasonably rely.”

(Sargon Enterprises, Inc. v. University of Southern California (2012) 55 Cal.4th 747, 769–770 (Sargon); Evid. Code, § 801.) “Evidence Code section 802 provides: “A witness testifying in the form of an opinion may state ... the reasons for his opinion and the matter ... upon which it is based, unless he is precluded by law from using such reasons or matter as a basis for his opinion. The court in its discretion may require that a witness before testifying in the form of an opinion be first examined concerning the matter upon which his opinion is based.”” (Sargon, supra, 55 Cal.4th at p. 771; Evid. Code, § 802.)

Analysis: Motion to Seal

Defendants move to file Exhibits B through L, P, Q, S, T, U, and V (17 exhibits) under seal. Playboy filed a joinder to Defendants’ motion to seal as to Exhibits K, T, U, and V.

By

way of background, the California Supreme Court has held that there is a First Amendment right of public access to “ordinary civil trials and proceedings.” (NBC Subsidiary (KNBC-TV), Inc. v. Superior Court (1999) 20 Cal.4th 1178, 1212.) As our high court has explained, this constitutional right is a “qualified” one in the sense that the proceedings “are ‘presumptively open’” and in order for them to be ordered closed, the court must give advance notice of the potential closure and must conduct a hearing and must make express findings supporting the closure order and/or the sealing of court records. (Id. at p. 1217.)

Since NBC

Subsidiary, California Courts of Appeal have regularly employed

a constitutional analysis in resolving disputes over public access to court documents. (E.g., *In re Marriage of Nicholas* (2010) 186 Cal.App.4th 1566, 1575 [holding sealing orders implicate the public's right of access under the First Amendment.]; *Savaglio v. Wal-Mart Stores, Inc.* (2007) 149 Cal.App.4th 588, 596 [explaining the public has a First Amendment right to access civil litigation documents filed in court and used at trial or submitted as a basis for adjudication].)

Thus, under NBC Subsidiary, before the presumption of openness established by the First Amendment may be overcome, the trial court must hold a hearing and expressly find that (1) there is an overriding interest supporting sealing of the records; (2) there is a substantial probability that the interest will be prejudiced absent sealing; (3) the sealing order is narrowly tailored to serve the overriding interest; and (4) there is no less restrictive means of meeting that interest. (*NBC*, supra, at pp. 1217–1218.) The Judicial Council codified the NBC constitutional standards in rules 2.550 and 2.551—which are also known as “the sealed records rules.” (*Overstock.com, Inc. v. Goldman Sachs Group, Inc.* (2014) 231 Cal.App.4th 471, 486.)

Defendants

contend that all 17 exhibits must be sealed because the parties entered into a protective order and the overriding interest outweighs the public's right of access. Defendants argue that “the materials reveal non-public financial data of the parties (e.g., bank account numbers, internal historical and forecasted performance data), as well as confidential business planning documents.” (Mot., 4:9-11; Bowse Decl., ¶ 3.) In support of Defendants' motion, Defendants contend that “disclosure would cause competitive harm to AVS and Playboy and would invade the privacy of those entities.” (Bowse Decl., ¶ 4.) Furthermore, Defendants propose that “redactions remove only sensitive data.” (Id. at ¶ 5.)

Playboy

contends that it would be unfairly disadvantaged in the competitive market if Exhibits K, T, U, and V are not sealed. (Playboy Joinder Not., 2:15.)

Defendants'

motion and declaration lack support that warrants the Court to seal the exhibits. The declaration is conclusory and provides the Court with no support for an express finding that that:

(1)

There exists an overriding interest that overcomes the right of public access to the record;

(2)

The overriding interest supports sealing the record;

(3)

A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed;

(4)

The proposed sealing is narrowly tailored; and

(5)

No less restrictive means exist to achieve the overriding interest.”

(Cal. Rules of Court, rule 2.550(b).)

Similarly, Playboy’s joinder motion is also defective. Playboy did not file a declaration in support of its joinder motion. Moreover, Playboy cites to *McGuan v. Endovascular Technologies, Inc.* (2010) 182 Cal.App.4th 974, 988 as a basis to seal Exhibits K, T, U, and V, but fails to submit a declaration to support its claims that the information within the exhibits is sensitive. In *McGuan*, the Court granted the motion to seal trade secrets after finding that the party submitted “substantial evidence” through declarations. (*Id.* at p. 988.)

Thus, the motion to seal Exhibits B through L, P, Q, S, T, U, and V is denied.

Analysis: Motion to Exclude Expert Testimony

Playboy

moves to exclude the expert testimony of Scott Bosworth (“Bosworth”) at trial. Playboy contends that Bosworth relies exclusively on Pro Forms Prepared by AVS to

calculate AVS's alleged \$1.58 billion in damages. (Mot., 9:2-9.)

““Under

Evidence Code sections 801, subdivision (b), and 802, the trial court acts as a gatekeeper to exclude expert opinion testimony that is (1) based on matter of a type on which an expert may not reasonably rely, (2) based on reasons unsupported by the material on which the expert relies, or 3) speculative.” (Sargon, *supra*, 55 Cal.4th at p. 771-772.)

Playboy

argues that the AVS projections that Bosworth relied upon conflict with the historical record because they assume hundreds of millions of dollars in revenue from “big box retailers,” but AVS had no contracts with the retailers; specifically, Walmart, Walgreens, Target, and GNC declined to distribute AVS products; and AVS has no information identified regarding the four other identified retailers. (Mot., p.12:17-24; Playboy Ex. B, 207:2-226:19.) In Bosworth's deposition, he stated that he included companies Walmart, Target, Walgreens, and GNC based on the representations of Mr. Matloob and Mr. Kay. (Playboy Ex. B, 209:8, 210:8-9, 211:5-8.) Moreover, Bryant Hussey was deposed and did not affirm that AVS ever had an agreement with Walmart, CVS, Sam's Club, Kroger, or Albertson's to sell the AVS products. (Playboy Ex. D: 39:9-40:4.) Moreover, Playboy contends that the data Bosworth relied on did not have any historical support. (Mot., 14:26-28.)

In Sargon,

the Court relied on Lockheed, where the court stated that:

Evidence Code

section 801, subdivision (b), “a court should determine only whether the type of matter that an expert relies on in forming his or her opinion is the type of matter that an expert reasonably can rely on in forming an opinion, without regard to whether the matter relied on reasonably does support the particular opinion offered.” The Court of Appeal disagreed. “An expert opinion has no value if its basis is unsound. [Citations.] Matter that provides a reasonable basis for one opinion does not necessarily provide a reasonable basis for another opinion. Evidence Code section 801, subdivision (b), states that a court must determine whether the matter that the expert relies on is of a type that an expert reasonably can rely on ‘in forming an opinion upon the subject to which his testimony relates.’ (Italics added.) We construe this to mean that the matter relied on must provide a reasonable basis for the

particular opinion offered, and that an expert opinion based on speculation or conjecture is inadmissible.”

(Sargon, *supra*, 55 Cal.4th at p. 770.)

“The high court warned that the gatekeeper’s focus ‘must be solely on principles and methodology, not on the conclusions that they generate.’” (Id. at p. 772.) “An expert’s opinion that something could be true if certain assumed facts are true, without any foundation for concluding those assumed facts exist in the case before the jury, does not provide assistance to the jury because the jury is charged with determining what occurred in the case before it, not hypothetical possibilities.” (Jennings v. Palomar Pomerado Health Systems, Inc. (2003) 114 Cal.App.4th 1108, 1117-1121 [upholding trial court’s exclusion of expert testimony under Evidence Code §801 where the expert’s conclusion was not supported by a reasoned explanation].)

Playboy

argues that Sargon is on point authority. In Sargon, the Court affirmed the trial court’s ruling to exclude expert testimony. (Sargon, *supra*, 55 Cal.4th at p. 781.) The Court reasoned that the expert “properly found the expert’s methodology was too speculative for the evidence to be admissible.” (Id. at p. 776.) The court also stated that the:

[Expert] did not base his lost profits estimates on any objective evidence of “past volume of business” or any “other provable data relevant to the probable future sales.” [Citation.] Instead, as the trial court further noted, [plaintiff’s] lost profit projections were “wildly beyond, by degrees of magnitude, anything Sargon had ever experienced in the past.”

(Sargon, *supra*, 55 Cal.4th at p. 778–779.)

In

opposition, Defendants contend that Bosworth’s testimony should not be excluded because the Pro Formas are reliable. In Kids’, the Court stated that:

“[W]here the operation of an established business is prevented or interrupted, as by a tort or breach of contract or

warranty, damages for the loss of prospective profits that otherwise might have been made from its operation are generally recoverable for the reason that their occurrence and extent may be ascertained with reasonable certainty from the past volume of business and other provable data relevant to the probable future sales. [Citations.] On the other hand, where the operation of an unestablished business is prevented or interrupted, damages for prospective profits that might otherwise have been made from its operation are not recoverable for the reason that their occurrence is uncertain, contingent and speculative. [Citations.] ... But although generally objectionable for the reason that their estimation is conjectural and speculative, anticipated profits dependent upon future events are allowed where their nature and occurrence can be shown by evidence of reasonable reliability.

(Kids' Universe v. In2Labs (2002) 95 Cal.App.4th 870, 883.)

Plaintiff

also cites Hewlett, where the court accepted internal company projections for the expert to base his expert testimony. (Hewlett-Packard Co. v. Oracle Corp. (2021) 65 Cal.App.5th 506, 572.) However, the distinction raised is that the expert relied on “past data to explain his conclusions regarding [] predicted market share and provided a “logical basis to infer” that his conclusions were supported.” (Ibid.) “[I]f the business is a new one or if it is a speculative one ..., damages may be established with reasonable certainty with the aid of expert testimony, economic and financial data, market surveys and analyses, business records of similar enterprises, and the like.” (Parlour Enterprises, Inc. v. Kirin Group, Inc. (2007) 152 Cal.App.4th 281, 288.) But “the projections must nevertheless be based on facts that are substantially similar to the lost business opportunity.” (Id. at p. 290.)

The Court

finds that Playboy has not met its burden to exclude Bosworth's testimony outright but finds that an evidentiary hearing is warranted closer to the time of trial. The evidence before the Court is so conflicting that the Court is unable to determine whether Bosworth relies on sound data or on improper projections. (See Bosworth Decl., ¶¶ 15-17; Playboy Ex. B, 207:2-226:19.) Moreover, Bosworth declares that he modeled damages over a 28-year period but does not specify why this period was determined. (Bosworth Decl., ¶¶19.)

Thus, the Court will conduct an evidentiary hearing to determine whether Bosworth's expert testimony will be excluded from trial. However, a hearing this far in advance of trial is premature.

Request for Judicial Notice

Defendants

request that the Court to take judicial notice of: (1) the Minute Order dated September 12, 2024; (2) Todd Kay's declaration filed on May 5, 2023; (3) the 2020 Playboy Presenter Presentation; and (4) the February 11, 2021 Playboy stock price.

The Court

grants Defendants' request for judicial notice of requests no. 1 and 2 pursuant to Evidence Code section 452, subdivision (d). The Court takes judicial notice of the existence of these documents and not the statements therein. (Day v. Sharp (1975) 50 Cal.App.3d 904 ["a court cannot take judicial notice of hearsay allegations as being true, just because they are part of a court record or file. A court may take judicial notice of the existence of each document in a court file, but can only take judicial notice of the truth of facts asserted in documents such as orders, findings of fact and conclusions of law, and judgments."])

The Court

denies Defendants' request for judicial notice as to request no. 3.

The Court

grants Defendants' request for judicial notice as to request no. 4 pursuant to Evidence Code section 452, subdivision (h).

Conclusion

Defendants'

motion to seal Exhibits B through L, P, Q, S, T, U, and V is denied.

Playboy's

motion to exclude Bosworth's expert testimony or, in the alternative, to conduct an evidentiary hearing is granted in part and denied in part. The Court will conduct an evidentiary hearing at the appropriate time.